cause of action.

The motion to strike is **granted** as requested, **without leave to amend**.

15. 9:00 AM CASE NUMBER: C25-01950
CASE NAME: KENNETH RAI VS. JEFFREY RAI
1ST AMENDED COMPLAINT
FILED BY: RAI, JEFFREY L.
TENTATIVE RULING:

Before the Court is a demurrer by defendant Jeffrey Rai to the first amended complaint. For the reasons set forth, the Court rules as follows: (a) general and special demurrers to first and third causes of action – **overruled**; and (b) general demurrers to second and fourth causes of action – **sustained, with leave to amend**.

Background

Plaintiff filed the complaint commencing this action on July 7, 2025. In the operative first amended complaint ("FAC"), Plaintiff Kenneth Rai alleges claims against his son Jeffrey Rai for breach of contract (1st C/A), fraud based on misrepresentation (2nd C/A), and common counts for account stated and open book account (3rd and 4th C/As). (For clarity, the Court in some instances will identify the parties by their first names Kenneth and Jeffrey given their identical last names.) The Court will address the factual allegations of the FAC as relevant to the analysis of the demurrers to the specific causes of action is dispute.

Legal Standards Governing Demurrer

In ruling on the demurrer, the Court must accept as true all well-pleaded factual allegations of the complaint, but not legal or factual conclusions or contentions of law. (*City of Dinuba v. County of Tulare* (2007) 41 Cal. 4th 859, 865; *Julian v. Mission Community Hospital* (2017) 11 Cal.App.5th 360, 374.) The Court gives "the complaint a reasonable interpretation, reading it as a whole and its parts in their context. [Citation omitted.]" (*Evans v. City of Berkeley* (2006) 38 Cal. 4th 1, 6.) (*See also* Code Civ. Proc. § 452.)

In ruling on a demurrer, the Court also considers matters of which the Court can properly take judicial notice. (*Evans, supra,* 38 Cal.4th at 6; *Carloss v. County of Alameda* (2015) 242 Cal. App.4th 116, 123.) Though the Court deems the allegations of the complaint to the be true, where exhibits are attached to the complaint, the Court also accepts the statements in the exhibits as true and gives them precedence to the extent they contradict the allegations pled in the complaint. (*Moran v. Prime Healthcare Management, Inc.* (2016) 3 Cal.App.5th 1131, 1145-1146; *Mead v. Sanwa Bank California* (1998) 61 Cal.App.4th 561, 567-568 [stating "If the facts appearing in the attached exhibit contradict those expressly pleaded, those in the exhibit are given precedence same," but holding there was no contradiction in that case].)

To sustain a general demurrer based on the statute of limitations, it must "clearly and affirmatively" appear on the face of the complaint that the cause of action is time-barred, not that it might be barred. (*Committee for Green Foothills v. Santa Clara County Bd. of Supervisors* (2010) 48 Cal.4th 32, 42; *Lee v. Hanley* (2015) 61 Cal.4th 1225, 1232.) Demurrers for uncertainty are disfavored. (*Lickiss v. Financial Industry Regulatory Authority* (2012) 208 Cal.App.4th 1125, 1135; *A.J. Fistes Corp. v. GDL Best Contractors, Inc.* (2019) 38 Cal.App.5th 677, 695 [" '[U]nder our liberal pleading rules, where the complaint contains substantive factual allegations sufficiently apprising defendant of the issues it is being asked to meet, a demurrer for uncertainty should be overruled or plaintiff given leave to amend.' [Citations omitted.]"].)

Moving and Opposing Requests for Judicial Notice

Defendant requests judicial notice of Plaintiff's original complaint, a grant deed recorded September 18, 2017 from Kenneth T. Rai and Yuki S. Rai, Trustees of the Kenneth T. Rai and Yuki S. Rai Revocable Trust to Jeffrey L. Rai., the Court's February 18, 2026 tentative ruling sustaining defendant's demurrer to the original complaint with leave to amend, and Plaintiff's FAC (Def. RJN Exhs. A-D.) Plaintiff also filed a request for judicial notice of the FAC in support of his opposition. (Pl. RJN Exh. A.) The Court **grants** the requests for judicial notice of the original complaint and the FAC, subject to the applicable limitations on judicial notice. (Evid. Code § 452(d); *StorMedia, Inc. v. Superior Court* (1999) 20 Cal.4th 449, 457, fn. 9 [judicial notice does not extend to the truth or proper interpretation of a pleading to the extent reasonably disputable]; *Fremont Indemnity Co. v. Fremont General Corp*. (2007) 148 Cal.App.4th 97, 113-115 [same].)

Judicial notice of the September 2017 grant deed (Def. RJN Exh. B) may be taken under Evidence Code section 452(c). The Court **grants** the request for judicial notice of the grant deed attached as Exhibit B to defendant's request. (*West v. JP Morgan Chase Bank, N.A.* (2013) 214 Cal. App. 4th 780, 802-803 [on demurrer, judicial notice of recorded trustee's deed upon sale and entity named as grantee]; *Linda Vista Village San Diego Homeowners Assn., Inc. v. Tecolote Investors, LLC* (2015) 234 Cal.App.4th 166, 184.) The Court notes defendant's argument that his parents had the assistance of counsel in recording the document based on the identification of what may be a law firm under the line "recording requested by" on the grant deed. (Def. RJN Exh. B.) The Court cannot take judicial notice of the fact defendant asserts, i.e., that his parents received the advice or assistance of counsel in making the Property transfer, from that reference in the recorded deed. The fact argued by defendant is beyond the scope of judicial notice, and a factual inference and interpretation of the document that is reasonably disputable. (*StorMedia, supra,* 20 Cal.4th 449, 457, fn. 9; *Linda Vista Village San Diego Homeowners Assn., supra,* 234 Cal.App.4th at 184.)

Plaintiff argues that extrinsic evidence cannot be considered in ruling on a demurrer, citing *Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994. That rule applies to evidence other than matters subject to judicial notice. (*Evans, supra*, 38 Cal.4th at 6 [affirming order sustaining demurrer to complaint based in part on documents subject to judicial notice, stating " ' "[A] complaint otherwise good on its face is subject to demurrer when facts judicially noticed render it defective." [Citation.]' [Citations omitted.]"]; *Carloss, supra,* 242 Cal.App.4th at 123.)

Plaintiff also requests that the Court take judicial notice of its tentative ruling sustaining Defendant's demurrer to the original complaint with leave to amend. (Pl. RJN Exh. B [2/28/2026 Tent. Rul.].) The Court **grants** the request to take judicial notice of the February 2026 tentative ruling, subject to the applicable limitations on the scope of judicial notice of a court order. (*Sosinsky v. Grant* (1992) 6 Cal. App. 4th 1548, 1569 [judicial notice of prior order or judgment].)

Reply Request for Judicial Notice

In support of the reply, Jeffrey filed a request for judicial notice asking the Court to take judicial notice of seven documents. (Reply RJN Exhs. 1-7.) One of the documents, Reply RJN Exh. 7, is the same grant deed recorded on September 18, 2017 that is the subject of Jeffrey's RJN filed with the demurrer pleadings (Def. RJN Exh. B). The Court **denies** the request for judicial notice of Reply RJN Exh. 7 as duplicative of the request, which the Court has already granted above.

Defendant has also requested that the Court take judicial notice of two earlier grant deeds (Reply RJN Exhs. 1 and 2), and of four pleadings filed in a civil action in this Court, *Kenneth T. Rai and Yuki S. Rai, Trustees of the Kenneth T. Rai and Yuki S. Rai Revocable Trust v. Kathleen Rai, etc., et al.*, C15-01057 (Reply RJN Exhs. 3-6.) The general rule in law and motion proceedings is that the Court will not consider new evidence filed for the first time with a reply. (*Jack v. Ring LLC* (2023) 91 Cal.App.5th 1186, 121; *Jay v. Mahaffey* (2013) 218 Cal.App.4th 1522, 1537, 1538.) Further, it is also not clear to the Court that the documents are relevant to the issues which the Court must consider in ruling on the demurrer. (*Jordache Enterprises, Inc. v. Brobeck, Phleger & Harrison* (1998) 18 Cal.4th 739, 748, fn. 6 [judicial notice denied where "the requests present no issue for which judicial notice of these items is necessary, helpful, or relevant"].) The Court cannot, by way of judicial notice, take judicial notice of the truth of statements made in a declaration (or verified pleading) in another action. (*See South Lake Tahoe Property Owners Group v. City of South Lake Tahoe* (2023) 92 Cal.App.5th 735, 752; *Lockley v. Law Office of Cantrell, Green, Pekich, Cruz & McCort* (2001) 91 Cal.App.4th 875, 882.) The Court therefore **denies** the request for judicial notice of Reply RJN Exhs. 1-6 on these grounds.

Analysis

Defendant has made general demurrers to each of the four causes of action on the grounds that they are barred by the applicable statute of limitations and that the FAC fails to allege facts sufficient to state the causes of action. Defendant has also made special demurrers for uncertainty to each of the causes of action.

A. Breach of Contract (1st C/A)

The essential elements of a cause of action for breach of contract are "(1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff. [Citations omitted.] " (*Oasis West Realty, LLC v. Goldman* (2011) 51 Cal.4th 811, 821.) (*See also Richman v. Hartley* (2014) 224 Cal. App. 4th 1182, 1186.)

For any contract to be enforceable, it must be " 'sufficiently definite (and this is a question of law) for the court to ascertain the parties’ obligations and to determine whether those obligations have been performed or breached.' [Citation omitted.]" (*Bustamante v. Intuit, Inc.* (2006) 141 Cal.App.4th 199, 209.) The promise "must be definite enough that a court can determine the scope of the duty[,] and the limits of performance must be sufficiently defined to provide a rational basis for the assessment of damages. [Citations omitted.] 'Where a contract is so uncertain and indefinite that the intention of the parties in material particulars cannot be ascertained, the contract is void and unenforceable.' [Citations omitted.] . . . . 'If . . . a supposed "contract" does not provide a basis for determining what obligations the parties have agreed to, and hence does not make possible a determination of whether those agreed obligations have been breached, there is no contract.' [Citation omitted.]" (*Id.*

[emphasis added].)

The statute of limitation on enforcement of an obligation in writing is four years. (Code Civ. Proc. § 337(a).) Plaintiff relies on the continuous accrual doctrine to assert the breach of contract claim is timely within the statute of limitations. "Generally, a statute of limitations begins to run when a cause of action accrues, meaning when the cause of action is complete with all of its elements. [Citation omitted.] Violations of a continuing or recurring obligation may give rise to 'continuous accrual' of causes of action, meaning that ' "a cause of action accrues each time a wrongful act occurs, triggering a new limitations period." [Citation.]' [Citations omitted.]" (*Esparza v. Safeway* (2019) 36 Cal.App.5th 42, 59-60 [quoting *Aryeh v. Canon Business Solutions, Inc*. (2013) 55 Cal.4th 1185, 1199].)

Aryeh involved a copier lease requiring monthly payments and is more analogous to this case and the 2004 Letter with its provision for monthly payments. The Court further explained in *Aryeh,* "[T]he theory of continuous accrual supports recovery only for damages arising from those breaches falling within the limitations period." (*Aryeh, supra*, 55 Cal.4th at 1199 [emphasis added].) The Court applied the continuous accrual doctrine to improper amounts the plaintiff claimed were included in the plaintiff's monthly payments due under a copier lease. Under that doctrine, "each alleged breach must be treated as triggering a new statute of limitations. [Citations omitted.] Aryeh cannot recover alleged excess charges preceding the four-year limitations period, but is not foreclosed from seeking recovery for charges to the extent they fall within that period. Because the complaint alleges excess charges within the four years preceding suit, it is not completely barred by the statute of limitations." (*Id.* at 1200-1201.)

1. Plaintiff's Allegations Supporting the Breach of Contract Claim in the FAC

Plaintiff alleges that in December 2004, he "transferred approximately $400,000" of an inheritance Plaintiff received from Plaintiff's father to Plaintiff's son, defendant Jeffrey. (FAC ¶ 9.) He alleges that "on the same date" defendant made a written promise to Plaintiff reflected in a December 8, 2004 letter, a copy of which is attached to the FAC as Exhibit A (the "2004 Letter"). (FAC ¶ 9.) Plaintiff alleges that the 2004 Letter "memorialized" a promise by defendant to pay approximately $1,000 per month to Plaintiff and approximately $1,000 per month to defendant's mother, Yuki Rai, "to assist with living expenses in their retirement years." (FAC ¶ 9.) In paragraph 10, Plaintiff alleges that the payments, which were to be capped at $11,000 per year to qualify for the yearly gift tax exemption, were to continue until June 2024, or "for an indefinite duration." (FAC ¶ 10.) Plaintiff alleges the continuous accrual doctrine applies, and that he is entitled to recover at least the amount of the payments due during the four years preceding the filing of this action under the *Aryeh* decision. (FAC ¶ 10.)

Plaintiff alleges he made demand on defendant to pay the amounts due under the 2004 Letter on or about July 17, 2024, and defendant failed to do so. (FAC ¶ 11.) He later alleges he made demand for payment of the amounts due under the 2004 Letter in November 2024, but defendant failed to make the payments. (FAC ¶ 17.)

2. Grounds for General Demurrer to the Breach of Contract Claim and Court's Analysis

Plaintiff's original complaint characterized the 2004 Letter as a promissory note reflecting a loan from Plaintiff to defendant. In the FAC, Plaintiff recharacterizes the 2004 Letter as a simply a contract which defendant breached by not making the payments to Kenneth called for in the 2004 Letter. Defendant argues that the FAC fails to allege facts showing the existence of a contract, because Plaintiff does not allege that the $400,000 inheritance received by Jeffrey was consideration in exchange for the promises in the 2004 Letter and because the terms of the 2004 Letter are too indefinite to be enforced as a contract.

a. Contract Sufficiently Definite to Be Enforced

In support of the demurrer, defendant cites the general elements required to state a cause of action for breach of contract and argues Plaintiff has not alleged the first element, i.e., the existence of an enforceable contract. Defendant does not cite any authorities in support of his argument demonstrating that the terms omitted from the 2004 Letter, namely, a specific start date or ending date for the payments, makes the contractual promise to make the monthly payments alleged in FAC paragraph 9 unenforceable. With respect to the ending date, Plaintiff in one place alleges an ending date of June 2024, and reading the 2004 Letter, the end date could reasonably be gleaned to be when Plaintiff no longer needs financial assistance in his retirement, based on the purposes of the promise of payment expressed in the 2004 Letter.

As to the lack of a commencement date, in his reply, defendant cites *Aragon-Haas v. Family Security Ins. Services, Inc.* (1991) 231 Cal.App.3d 232 to support his position that the 2004 Letter is too indefinite to be enforced. Notably, the written employment contract in that case was integrated, but the Court of Appeal nevertheless reversed the trial court's order sustaining a demurrer to a breach of contract action. In so holding, the Court noted that an integration clause does not preclude extrinsic evidence to explain ambiguous terms. In reversing the order sustaining the demurrer as to the breach of contract cause of action, the Court stated, " 'So long as the pleading does not place a clearly erroneous construction upon the provisions of the contract, in passing upon the sufficiency of the complaint, we must accept as correct plaintiff's allegations as to the meaning of the agreement.' [Citation omitted.]" (*Id.* at 239 [also stating, "Where a complaint is based on a written contract which it sets out in full, a general demurrer to the complaint admits not only the contents of the instrument but also any pleaded meaning to which the instrument is reasonably susceptible. [Citation omitted.]"].)

The 2004 Letter has no integration clause, unlike the agreement in *Aragon-Haas*. In addition to the lack of an integration clause which would allow for extrinsic evidence to address omitted terms, the sufficiency of the terms of the 2004 Letter is subject to the guidance provided by the Civil Code for the interpretation and enforcement of contracts. (*See, e.g.*, Civ. Code § 1643 ["A contract must receive such an interpretation as will make it lawful, operative, definite, reasonable, and capable of being carried into effect, if it can be done without violating the intention of the parties."]; Civ. Code § 1647 ["A contract may be explained by reference to the circumstances under which it was made, and the matter to which it relates."]; Civ. Code § 1657 ["If no time is specified for the performance of an act required to be performed, a reasonable time is allowed. If the act is in its nature capable of being done instantly—as, for example, if it consists in the payment of money only—it must be performed immediately upon the thing to be done being exactly ascertained."].) Defendant has not cited the Court any authority that the silence on the commencement date for payments would preclude enforcement of the 2004 Letter, particularly given this guidance on interpretation of contracts under the Civil Code.

b. Consideration

As to the consideration for the promises in the 2004 Letter to form a contract, Plaintiff alleges that he transferred the funds to Jeffrey on the same date as the 2004 Letter defendant sent to Plaintiff. (FAC ¶ 9.) In the 2004 Letter, defendant Jeffrey's promise to make payments to Plaintiff to help him financially in his retirement references that the source of funds for Jeffrey making the financial assistance payments to Kenneth is primarily the $400,000 in inherited funds from Plaintiff's father Chai-Nin Rai. (FAC Exh. A.) Reasonably and liberally construed for purposes of ruling on a demurrer, the Court can reasonably construe the allegations of paragraph 9 with the 2004 Letter as alleging defendant's promise to make the payments under the 2004 Letter was in consideration of the contemporaneous transfer of the $400,000 in inheritance funds to Jeffrey. While under the liberal standards for ruling on a demurrer, the allegations are sufficient to support consideration, nothing in the ruling on the demurrer precludes Jeffrey from proving that was not the case.

c. Lack of Acceptance

Defendant argues that the FAC fails to allege that Plaintiff accepted the terms of the 2004 Letter. That argument is premised on the 2004 Letter being an offer by defendant Jeffrey that Plaintiff had to accept, but liberally and reasonably construed for purposes of a demurrer, the allegations of the FAC regarding Plaintiff's concurrent transfer of the $400,000 in inheritance funds to Jeffrey with Plaintiff's receipt of Jeffrey's 2004 Letter can support a reasonable inference that Jeffrey accepted Kenneth's offer when Jeffrey delivered the 2004 Letter to Kenneth to the effect that based on Kenneth's transfer of the $400,000 in inheritance funds to Jeffrey, Jeffrey would make retirement assistance payments to Kenneth using primarily those funds as the source of the payments.

d. Statute of Limitations

Defendant argues that the FAC alleges no payments were made under the 2004 Letter, that the breach occurred shortly after it was executed, and the breach of contract claim is therefore barred by the four-year statute of limitations for claims based on a written contract under Civil Code section 337, subd. (1). The 2004 Letter provides for monthly payments which Plaintiff alleges either were to terminate in June 2024 or were to continue indefinitely. In any event, the FAC and the 2004 Letter describe the existence of a recurring, monthly obligation under the 2004 Letter which supports application of the continuous accrual doctrine addressed above in the *Aryeh* decision.

Defendant did not address the *Aryeh* case or the continuous accrual doctrine in his memorandum in support of the demurrer, despite the fact the FAC expressly alleges the doctrine applies. (FAC ¶ 10.) Defendant's reply addresses *Aryeh* only by arguing that the continuous accrual doctrine can only apply to an obligation that is sufficiently definite to be enforced as a contract. The Court has concluded the FAC allegations and the 2004 Letter are sufficiently definite to allow potential enforcement of the contract for the reasons stated above. Under *Aryeh*, to the extent Plaintiff can prove monthly payments were due under the 2004 Letter and unpaid that were within the four-year statute of limitations, at least that portion of Plaintiff's breach of contract cause of action may not be time-barred.

The general and special demurrers to the first cause of action are **overruled**.

B. Fraud-Misrepresentation (2nd C/A)

The elements of a cause of action for deceit are " '(a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.' [Citation omitted.]" (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638.) Fraud must be pled with specificity, which requires a plaintiff to plead "facts which show how, when, where, to whom, and by what means the representations were tendered. [Citations and internal quotation marks omitted.]" (*Id.* at 645.) (*See also Service by Medallion, Inc. v. Clorox Co.* (1996) 44 Cal.App.4th 1807, 1816 [addressing claim for promissory fraud based on fraudulent inducement, stating, in addition to summarizing the elements of fraud generally, " 'An action for promissory fraud may lie where a defendant fraudulently induces the plaintiff to enter into a contract.' [Citation omitted.] The action is one of deceit, which requires proof that the defendant made a misrepresentation of fact or a promise without any intention of performing it. (Civ. Code, § 1710.)"].)

The rule of liberal construction of pleadings does not apply to fraud claims. "[A] general pleading of the legal conclusion of fraud is insufficient. <u>Every element of the cause of action must be alleged in full, factually and specifically</u>. [Citation omitted.]" (*Tindell v. Murphy* (2018) 22 Cal. App. 5th 1239, 1249 [emphasis added].) (*See also Lazar, supra,* 12 Cal.4th at 645 ["In California, fraud must be pled specifically; general and conclusory allegations do not suffice."]; *Service by Medallion, Inc., supra,* 44 Cal.App.4th at 1816 [fraud claim must be pled with specificity].)

The statute of limitations for fraud is three years, which runs from the date of discovery of the "facts constituting the fraud." (Code Civ. Proc. § 338(d).) Plaintiff contends that under the delayed discovery rule, the fraud cause of action is timely since Plaintiff alleges he did not discover the fraud until November 1, 2024.

1. Plaintiff's Allegations Supporting the Fraud Cause of Action in the FAC

Plaintiff makes general introductory factual allegations that are incorporated into the second cause of action. (FAC ¶ 25 [incorporating paragraphs 1-24].) The FAC alleges there is a dispute concerning real property located on Southwind Circle in Richmond ("Southwind Property"). (FAC ¶ 7.) Plaintiff is 91 years old, lives with his daughter Kathleen, is hard of hearing and has limited English proficiency. (FAC ¶ 1.) Plaintiff alleges that Plaintiff's daughter Kathleen Rai purchased the Southwind Property in 1992. (FAC ¶ 8.) He alleges that defendant "urged" Kathleen to put Plaintiff on title to the Southwind Property with her, and he was added to title in 1997. (FAC ¶¶ 7, 8.) In 2016, Plaintiff became the 100% title holder of the Southwind Property after Jeffrey allegedly "convinced" Plaintiff to sue Kathleen to obtain full title in Plaintiff's name. (FAC ¶ 8.)

Plaintiff alleges that with Kathleen's help, on or about November 1, 2024, Plaintiff allegedly "discovered" that title to the Southwind Property had been transferred to defendant Jeffrey. (FAC ¶ 13.) He alleges that defendant had been collecting rent from the Southwind Property <u>since August 2014</u>, when defendant supposedly took Plaintiff to the County Recorder's office to sign over the Southwind Property to defendant. (FAC ¶ 13.) This allegation is in conflict with the allegations of paragraph 8 in which Plaintiff alleges he obtained title to the Southwind Property <u>in 2016</u> after defendant supposedly convinced Plaintiff to sue his daughter Kathleen to obtain sole title to the Southwind Property in his name. (FAC ¶ 8.) The timing also conflicts with the allegations of paragraph 14 of the FAC which suggests the Southwind Property was transferred to defendant Jeffrey <u>in 2017</u>, which is consistent with the copy of the grant deed of which Defendant has asked the Court to take judicial notice. (Def. RJN Exh. B.)

Plaintiff also alleges that in or about August 2021, Plaintiff transferred $880,000 to defendant. (FAC ¶ 12.) He alleges the transfer was not a gift but was made "based on defendant's representation that the money would be used to care for plaintiff's daughter and granddaughters." (FAC ¶ 12.)

Plaintiff alleges that when he transferred the Southwind Property to defendant, defendant made certain representations to Plaintiff, specifically that (1) the transfer of the Southwind Property to defendant was "protective and temporary"; (2) defendant was holding title in his name to protect the Southwind Property from Kathleen Rai's husband Sean Feng; (3) title to the Southwind Property would be returned to Kathleen "upon request" if she was no longer with Feng, or if she or her daughters needed it for financial support or because of domestic violence. (FAC ¶ 14.) Plaintiff alleges the representations were made "repeatedly from 2017 through June 2024, by phone, email, and in-person visits between plaintiff and defendant" in the presence of Plaintiff and his wife Yuki. (FAC ¶ 14.) This set of allegations <u>contradicts</u> the allegation in paragraph 13 that Plaintiff "discovered" the transfer of title to the Southwind Property to defendant in November 2024, as Plaintiff alleges that <u>he knew defendant had title to the Southwind Property as of at least 2017</u>, based on defendant's alleged representations made to Plaintiff as to why defendant was holding title to that property. (*Compare* FAC ¶¶ 13 and 14.) Plaintiff alleges that in June 2024, defendant stated that if Kathleen is no longer with her husband, he will transfer the property <u>back to her</u>, and Plaintiff allegedly confirmed that was his wish. (FAC ¶ 14.)

Plaintiff alleges that in November 2024, he discovered that defendant's representations regarding the Southwind Property were not true and that defendant wanted the property for his own use. (FAC ¶ 15.) In November 2024, with Kathleen's help, Plaintiff made demand on defendant for the Southwind Property rental income and an accounting. (FAC ¶ 16.) In November 2024, Plaintiff made demand for the "return of the Property" and payment of amounts due under the 2004 Letter. (FAC ¶ 17.)

Plaintiff alleges defendant sent him a <u>December 11, 2025</u> email, a portion of the content of which Plaintiff alleges in paragraph 18 and a copy of which is attached to the FAC as Exhibit B. The date of the email is approximately <u>five months after Plaintiff commenced this lawsuit</u>. Among other things, Plaintiff alleges that defendant stated in the email to Plaintiff that he acknowledged that he was holding the Southwind Property as a protective measure and that "<u>If you request its return, or if Kathy is no longer with Sean and requires housing</u> or stability for herself or her daughters, <u>I will promptly execute all documents necessary to transfer the property back as you direct</u>." (FAC Exh. B [emphasis added].)

In the fraud cause of action itself, Plaintiff asserts he discovered defendant "committed fraud" by representing he would "retain the [Southwind] Property in accordance with plaintiff's wishes, and for the benefit of plaintiff and plaintiff's daughter and granddaughter, and that that <u>defendant would transfer the Property to plaintiff's daughter when the circumstances dictated</u>." (FAC ¶ 26 [emphasis added].) He then alleges that the representations were false and that defendant "fraudulently concealed that defendant intended that the Property would be used for his own benefit." (FAC ¶ 27.) Plaintiff alleges the statements "were known by defendant to be false when he made them." (FAC ¶ 28.) He alleges he relied on the statements and refrained from demanding the return of the property, and Plaintiff then demands any rental income from the Southwind Property and return of the Southwind Property to Plaintiff. (FAC ¶¶ 29, 30.)

2. Grounds for the General Demurrer to the Fraud Cause of Action and the Court's Analysis

Defendant contends that Plaintiff has not alleged the fraud claim with specificity, including how defendant has allegedly defrauded Plaintiff based on the factual allegations made in the FAC. Defendant further argues that Plaintiff has not alleged that the circumstances under which defendant allegedly represented the Southwind Property would be returned to Plaintiff or given to Kathleen or her daughters have occurred, such that the FAC does not allege facts to show that defendant's representations were false. The Court agrees.

Plaintiff has alleged that defendant's representations regarding the conditions for return or transfer of the Southwind Property to Plaintiff or Kathleen were that Kathleen was no longer with her husband Feng, that title to the Southwind Property no longer needed to be protected from Feng, and that Kathleen or her daughters needed the Southwind Property for financial support or because of domestic violence. (FAC ¶ 14.) The FAC is unclear as to whether the representation was that the Southwind Property would be transferred to Plaintiff, or to Kathleen. (FAC ¶¶ 14, 18 and Exh. B.)

a. Inadequate Allegations of Fraud Based on Fraudulent Inducement or False Promise for the 2017 Transfer of Title to Jeffrey

Plaintiff has not alleged facts showing that defendant's alleged representations were false or made with knowledge of their falsity and with intent to deceive when they were allegedly made at the time the title to the Southwind Property was transferred to Jeffrey in September 2017. Plaintiff has not alleged facts sufficient to support a claim for false promise or fraudulent inducement theory of fraud because Plaintiff alleges no facts that show the promise defendant allegedly made was false when he made it allegedly in 2017 when the title to the Southwind Property was transferred to him. To allege a claim for deceit based on a false promise, Plaintiff must allege additional facts and circumstances that support an inference of a promise made without intent to perform, instead of an agreement honestly made that was not performed. (*Tarmann v. State Farm Mutual Auto. Ins. Co.* (1991) 2 Cal.App.4th 153, 159 ["Simply put, making a promise with an honest but unreasonable intent to perform is wholly different from making one with no intent to perform and, therefore, does not constitute a false promise."].) (*See also Hills Transp. Co. v. Southwest Forest Industries, Inc.* (1968) 266 Cal.App.2d 702, 708 ["In so differentiating a false promise from the great bulk of broken promises, the allegations necessary to show contemporaneous intention not to perform should be clear, specific, and unequivocal. [Citations omitted.]"].)

Plaintiff has not alleged any facts that would support that defendant's representations made in 2017 when title to the Southwind Property was transferred to him were false when made. Even if Plaintiff had alleged facts showing the representations are false, which he has not for the reasons stated above, the representations were made seven years before the alleged "falsity" was discovered based on defendant's alleged failure to return the Property to Plaintiff. The facts alleged arguably might show a breach of a promise to return the Property to Plaintiff upon request, but such facts do not support a cause of action for <u>fraud</u> based on false promise. (*Tarmann, supra,* 2 Cal.App.4th at 159; *Hills Transp. Co., supra,* 266 Cal.App.2d at 708.)

b. <u>Lack of Allegations Regarding Falsity of the Representations</u>

The facts alleged in the FAC for the fraud cause of action are also conflicting and therefore fail to meet the specificity requirement for fraud to allege that the representations by Jeffrey are false. The representations described in the FAC address when and under what conditions the Southwind Property should be returned to Plaintiff, or perhaps to Kathleen. Plaintiff does not allege facts showing those circumstances or conditions have occurred; namely, that Kathleen is no longer with her husband Feng, that the Southwind Property no longer needs to be protected from Feng, or that Kathleen or her daughters need the Southwind Property for financial support or because of domestic violence. (FAC ¶ 14.) It is not clear how Plaintiff can claim defendant's representations were false in the absence of allegations that the events described in the representations have occurred, but despite the conditions described in the representations having arisen, defendant has not abided by his representations alleged in paragraph 14.

c. <u>The December 11, 2025 Email</u>

Plaintiff alleges and attaches a <u>post-litigation December 2025 email</u> purportedly from defendant in which he allegedly reaffirms his intent to abide by the representations alleged in paragraph 14 of the FAC <u>if the circumstances stated in the representations occur</u>. (FAC Exh. B.) The December 11, 2025 email could arguably be construed to create conflicts in the FAC allegations supporting the fraud claim. The email suggests that, despite the FAC's general allegations of Plaintiff's demand for the Southwind Property and defendant's refusal to transfer it, such a demand by Plaintiff or the conditions for return of the Southwind Property or turnover of that property to Kathleen have not occurred. (FAC Exh. B ["<u>If</u> you request its return, or <u>if</u> Kathy is no longer with Sean and requires housing or stability for herself or her daughters, I will promptly execute all documents necessary to transfer the property back as you direct." (Emphasis added.)].)

The Court recognizes that defendant vigorously disputes the genuineness and veracity of the December 11, 2025 email (MPA p. 7, fn. 5). The Court cannot determine the authenticity of the December 11, 2025 email or the veracity of the allegations of paragraph 18 of the FAC relying on that email on a demurrer. Defendant's reply cites Code of Civil Procedure sections 128.5 and 128.7 which provide remedies to a litigant if the procedural and substantive requirements of those statutes are met. There may be other remedies available to defendant, and the Court itself has duties with regard to the handling of fraudulent evidence proffered to the Court and attorney ethical obligations, none of which, however, are properly before the Court on the demurrer or subject to an evidentiary record sufficient to address any such issues at this hearing.

d. <u>New Reply Arguments Regarding Standing and Absolute Deed</u>

Defendant for the first time in his reply raises two new arguments. First, he contends that Plaintiff lacks standing to pursue the fraud claim because Plaintiff did not hold title to the Southwind Property individually but rather as Co-Trustee of his family trust when title to the Southwind Property was transferred to Jeffrey in September 2017. (*See* Def. RJN Exh. B.) Second, he argues that the factual allegations in the fraud claim are contradicted and overridden by the absolute and unconditional terms of the September 2017 grant deed transferring title to the Southwind Property to defendant without any conditions or reservations.

The Court typically does not consider new theories raised for the first time on reply. Raising new arguments for the first time in a reply violates the general law and motion rules. (Cal. R. Ct. 3.1112(d)(3) [motion must state "the basis for the motion and the relief sought"].) "The rule is that points raised in a reply brief for the first time will not be considered unless good cause is shown for failure to present them before." (*Fisher v. San Pedro Peninsula Hospital* (1989) 214 Cal.App.3d 590, 604 [new points in reply brief on appeal].) Given the Court's determination that the allegations of the FAC are deficient in stating a cause of action for fraud for the reasons stated above, the Court will not address these new arguments.

e. Conclusion

The general demurrer to the second cause of action for fraud is **sustained, with leave to amend**. Having sustained the general demurrer to this cause of action for failure to state facts sufficient to constitute a fraud cause of action, the Court need not reach the other grounds asserted for the general and special demurrer to this cause of action or defendant's contention that the facts alleged in the fraud claim also fail to state a viable claim for breach of contract in light of the statute of frauds of Civil Code section 1624. Leave to amend is granted because the Court cannot determine at this point that Plaintiff cannot amend to allege additional facts to support the claim. Further, leave to amend this cause of action shall include leave to amend to address any new issues raised in the reply regarding deficiencies in the fraud claim if Plaintiff deems it necessary or appropriate.

C. Money Had and Received (3rd C/A)

Defendant argues that Plaintiff has not stated facts sufficient to support the common counts alleged in the FAC, referring to common counts for open book account and account stated. Plaintiff still alleges a cause of action for account stated, addressed below. Plaintiff alleged a cause of action for open book account in the original complaint, but in the FAC, Plaintiff has now alleged a cause of action for "money had and received." Defendant's arguments regarding open book account are irrelevant now and do not support the general demurrer to the money had and received claim.

"An action for money had and received lies wherever one person has received money which belongs to another, and which in equity and good conscience should be paid over to the latter. [Citation omitted.]" (*Weiss v. Marcus* (1975) 51 Cal. App. 3d 590, 599.) "A common count is not a specific cause of action, however; rather, it is a simplified form of pleading normally used to aver the existence of various forms of monetary indebtedness, including that arising from an alleged duty to make restitution under an assumpsit theory. [Citations omitted.] When a common count is used as an alternative way of seeking the same recovery demanded in a specific cause of action, and is based on the same facts, the common count is demurrable if the cause of action is demurrable. [Citations omitted.]" (*McBride v. Boughton* (2004) 123 Cal. App. 4th 379, 394.)

" 'A cause of action for money had and received is stated if it is alleged [that] the defendant "is indebted to the plaintiff in a certain sum 'for money had and received by the defendant for the use of the plaintiff.' " ' [Citation omitted.] The claim is viable " 'wherever one person has received money which belongs to another, and which in equity and good conscience should be paid over to the latter." ' [Citation omitted.] '[T]he plaintiff must prove that the defendant received money "intended to be used for the benefit of [the plaintiff]," that the money was not used for the plaintiff's benefit, and that the defendant has not given the money to the plaintiff.' [Citation omitted.]" (*Camden Systems, LLC v. 409 North Camden, LLC* (2024) 103 Cal. App. 5th 1068, 1082.)

1. Plaintiff's Allegations in Support of the Money Had and Received Claim in the FAC

Plaintiff alleges that within the last four years, defendant "became indebted to plaintiff for money had and received by defendant for the use and benefit of plaintiff, in the sum of at least $44,000.00." (FAC ¶ 32.) Plaintiff alleges that the money had not been paid despite Plaintiff's demands, and Plaintiff alleges $44,000 plus interest and attorneys' fees is now due and owing. (FAC ¶ 33.)

2. Court's Analysis

The FAC alleges sufficient facts to support that Plaintiff transferred $400,000 in inheritance funds to defendant on December 8, 2004, with Plaintiff promising to make monthly payments of approximately $1,000 per month for financial assistance for Plaintiff in his retirement, capped at $11,000 per year, and subject to some adjustments based on monthly and annual taxes and Plaintiff's needs. (FAC ¶ 9 and Exh. A.) The allegations meet the elements of money had and received, and for purposes of a demurrer, the FAC alleges facts sufficient to state this cause of action. With a four year statute of limitations based on a writing under Code of Civil Procedure section 337 subd. (1), the claim for $44,000 as alleged is consistent with the terms of the 2004 Letter providing for payments capped at $11,000 per year for four years preceding the filing of the lawsuit. The allegations are sufficiently specific for a common count cause of action, as explained above in the Court's analysis regarding the sufficiency of the FAC to allege the breach of contract cause of action.

The general and special demurrers to the third cause of action are **overruled**.

D. Account Stated (4th C/A)

"The essential elements of an account stated are: (1) previous transactions between the parties establishing the relationship of debtor and creditor; (2) an agreement between the parties, express or implied, on the amount due from the debtor to the creditor; (3) a promise by the debtor, express or implied, to pay the amount due. [Citations omitted.]" (*Zinn v. Fred R. Bright Co.* (1969) 271 Cal.App.2d 597, 600 [emphasis added].) *(See also Trafton v. Youngblood* (1968) 69 Cal.2d 17, 25 ["An account stated is an agreement, based on prior transactions between the parties, that all items of the account are true and that the balance struck is due and owing from one party to the other." (Emphasis added.)].) The California Supreme Court explained:

> The theory upon which the action on an account stated is allowed is that transactions have occurred between the parties from which the relation of debtor and creditor has arisen, that thereafter one or both have rendered or made statements or declarations specifying definitely the amount due on account thereof and thereupon there has been an agreement, express or implied, by the one who is the debtor, to the other, that a certain sum is due from him on such

> account, together with an express or implied promise to pay the same. The action is based on the promise to pay thus established, and if it is not expressly made, facts from which such promise will be implied must be proven.

(*Bennett v. Potter* (1919) 180 Cal. 736, 745 [emphasis added] [account stated cannot become a substitute for an action on a written contract with a promise to pay].)

1. Plaintiff's Allegations in Support of the Account Stated Cause of Action

Plaintiff alleges within the last year, "an account was stated by and between plaintiff and defendant wherein, and whereby it was agreed that said defendant was indebted to plaintiff in the sum of at least $2,000,000.00 for the use and benefit of plaintiff's granddaughters." (FAC ¶ 35 [emphasis added].) He alleges no part of the $2 million has been paid "despite plaintiff's demands" and that amount plus interest and attorney's fees is now due and owing." (FAC ¶ 36.)

2. Grounds for Demurrer and Court's Analysis

The allegations of the FAC do not meet the requisites for an account stated cause of action. There are no allegations that any statements were issued or made between the parties or that the parties have agreed to a "sum certain" being due by defendant on any "account" owed to Plaintiff in the amount of $2 million for the benefit of Plaintiff's granddaughters. To the extent Plaintiff's claim in this cause of action is based on the allegations regarding defendant's purported December 11, 2025 email, that email and the allegations of FAC paragraph 18 are insufficient to allege an "account stated" claim under the standards of the authority cited above. There is no "sum certain" of $2 million in the factual allegations of the FAC or Exhibit B to the FAC. Considering Exhibit B to the FAC relied on and incorporated by Plaintiff through paragraph 18, while recognizing defendant's position that the December 2025 email is not genuine, Exhibit B indicates that defendant is holding funds that are to be reserved for future expenditures for Plaintiff's granddaughters in an unspecified and not yet defined amount, not that there is any stated amount due now. (FAC Exh. B ["Upon Mikayla's 16th birthday, she would receive a car of her choice. [¶] $800,000 of the resources entrusted to me are to be reserved to cover educational and related expenses for your granddaughters. [¶] I agreed to carry out these wishes on your behalf. I understand that this includes tuition, room and board, and other reasonable educational expenses for Mikayla and Mila, whether for college, preparatory schooling, or other appropriate educational programs."].) There are no allegations regarding the ages of the granddaughters or otherwise supporting any immediate right to the $800,000 referenced in Exhibit B.

The general demurrer to the fourth cause of action for account stated is **sustained, with leave to amend**.

16. 9:00 AM CASE NUMBER: C25-02850
CASE NAME: TITO TORRES VS. MARK SCOTT CONSTRUCTION, INC.
MOTION TO COMPEL ARBITRATION
FILED BY: MARK SCOTT CONSTRUCTION, INC.
TENTATIVE RULING:*

Defendant Mark Scott Construction, Inc.'s motion to compel arbitration is granted in part. The parties